Olist E-Commerce Performance Analysis & Strategic Roadmap

1. Executive Insights

Customer Retention Bottleneck: The platform has a strong acquisition engine but lacks a robust retention mechanism. The platform acquired 96.1K total customers who generated 99K total orders. However, the repeat purchase rate is critically low at 3.12%, translating to only 3K repeat customers. The vast majority of acquired users buy once and do not return, severely limiting long-term customer lifetime value (LTV).
Geographic and Revenue Concentration Risk: Both revenue generation and seller distribution are heavily concentrated in the 'SP' (São Paulo) state. This over-reliance exposes the business to regional risks such as localized logistical disruptions, targeted competitor campaigns, or regional economic downturns.
Category Strengths vs. Margin Pressures: Top-performing categories include health_beauty, watches_gifts, bed_bath_table, sports_leisure, and computers_accessories. While these categories drive volume, the overarching Freight Ratio sits at 0.14 (14% of revenue is consumed by shipping). Bulky categories like bed_bath_table and furniture_decor show exceptionally high total freight costs, meaning gross merchandise value (GMV) growth in these sectors does not proportionately translate to profit growth.
Operational Excellence vs. Customer Sentiment: Core operations are not the primary bottleneck for the business. The relationship between logistics and customer sentiment is highly correlated, and a drop in delivery performance immediately impacts reviews.

Key Performance Indicator	Current Value	Insight / Impact
OTD Rate	94.95%	Excellent baseline; must be protected to ensure customer trust.
Non-Fulfillment Rate	1.24%	Healthy metric, but spikes during Q4 peak seasons.
Carrier Turnaround	2.71 Days	Efficient regional handoffs, but heavily skewed by SP density.
Review Score	4.09	Positive but not outstanding; leaves room

		for competitive disruption.

Seller and Payment Dynamics: Marketplace revenue is heavily skewed toward a small fraction of top-tier sellers. Simultaneously, credit cards are the dominant payment type across the platform. Cart data indicates that utilizing payment installments correlates with higher overall order values.

2. Strategic Business Recommendations

Implement a Comprehensive Retention Engine

To move the repeat purchase rate from 3.1% to a target of 8–10%, the company must transition from an acquisition-only model to a balanced LTV approach.

- Deploy category-specific post-purchase email campaigns and cross-selling promotions.
- Offer strategic coupons incentivizing a customer's second purchase.
- Launch recurring subscription models for consumable categories like health_beauty.

Restructure Supply Chain Economics

The 14% freight burden on top categories must be optimized to protect bottom-line profitability.

- Conduct a deep-dive review of category-level profitability versus freight per order.
- Establish regional micro-fulfillment centers to bring bulky items closer to the end consumer.
- Implement strategic minimum order value (MOV) thresholds to qualify for free shipping.

Diversify Geographic and Seller Dependence

Mitigate the risks associated with the heavy reliance on São Paulo and a small cluster of superstar sellers.

- Launch localized marketing campaigns and targeted seller recruitment in underpenetrated states (MG, PR, RS, SC, BA).
- Segment the seller base into Tier 1 (Top 10%), Tier 2 (Mid-market), and Tier 3 (Long-tail).
- Deploy dedicated growth resources to graduate Tier 2 sellers into Tier 1, reducing top-heavy revenue concentration.

Maximize Basket Value via Strategic Payments

Leverage existing consumer behavior around credit cards and structured payments.

- Promote Extended EMI (Equated Monthly Installment) options dynamically on higher-value categories (e.g., electronics, furniture).
- Create product bundles (e.g., fitness accessories combined with sports equipment) to naturally drive up the Average Order Value.

3. Execution Roadmap & Priorities

This roadmap outlines the sequenced priorities for leadership to maximize ROI and operational resilience.

Priority Level	Strategic Focus	Primary Objective
Priority 1	**Increase Repeat Purchases**	Address the 3.12% repeat rate; this offers the highest immediate ROI without increasing marketing spend.
Priority 2	**Improve Customer LTV**	Deploy cross-selling, intelligent recommendations, and loyalty programs to compound existing user value.
Priority 3	**Reduce Freight Costs**	Optimize the fulfillment network and review category-level economics to improve the 14% freight ratio.
Priority 4	**Geographic Expansion**	Strategically expand operations and marketing beyond the SP stronghold to mitigate concentration risk.
Priority 5	**Grow Mid-Tier Sellers**	Nurture Tier 2 marketplace sellers to build a more resilient and diverse revenue foundation.